Retail Research	IPO Note
Sector: Specialty Oil	Price Band (Rs): 160 - 169
21st November 2023	Recommendation: Subscribe for Long Term Horizon

Gandhar Oil Refinery India Limited

Company Overview:

Gandhar Oil is a leading manufacturer of white oils by revenue with a growing focus on the consumer and healthcare end industries. As of June'23, the company's suite comprised over 440 products primarily across (a) Personal care, Healthcare and Performance Oils **(PHPO)**, (b) Lubricants and (c) Process and Insulating Oils **(PIO)** divisions under the **Divyol** brand. The company's products are used as ingredients by leading Indian and global companies for the manufacture of end products for the consumer, healthcare, automotive, industrial, power and tyre and rubber sectors. It is India's largest manufacturer of white oils by revenue in FY23 **(26.5% market share)**, including domestic and overseas sales and is one of the top five players globally in terms of market share **(9.6% market share globally)** in the CY22.

Key Highlights:

1.Marquee customer base: The company have a diversified customer base that comprised of 3,558 customers during FY23. Some of the customers as per the primary business divisions includes (a) **PHPO:** P&G, Unilever, Marico, Emami, Bajaj Consumer Care, Encube, Patanjali Ayurved, Dabur, Amrutanjan Healthcare, Supreme Petrochem and other leading Indian manufacturers of pharmaceutical products, (b) **Lubricant:** Gulf Oil, Adani Ports and Special Economic Zone and other users of industrial machines and equipment and (c) **PIO:** Toshiba Transmission and Distribution Systems (India) and other leading manufacturers of transformers and power distribution and transmission companies. The percentage of customers placing repeat orders in the 3MFY24 and FY23, FY22 and FY21 was 83.7%, 69.1%, 68.9% and 66.4%, respectively.

2.Manufacturing facility: The company currently operates three manufacturing facilities with a combined annual production capacity of 5,22,403 kL as of June'23, with plants located in (a) Taloja, Maharashtra, (b) Silvassa, the Union Territory of Dadra and Nagar Haveli and Daman and Diu and (c) Sharjah, United Arab Emirates to cater to domestic and overseas demand for the products. The company is also in the process of enhancing the production capacity of the Taloja plant by an aggregate of 1,00,000 kL, out of which, the company has commissioned an incremental capacity of 25,000 kL in Oct'22. The company expects to complete the enhancement of the production capacity during FY24. In addition, the company separately intends to utilise Rs 27.7 cr out of the net proceeds towards enhancing the manufacturing capabilities and expects to add an aggregate of 18,840 kL of annual production capacity at the Silvassa plant for expansion in the capacity of automotive oil.

3.Raw material suppliers: The company has successfully built relationships with leading oil companies including SK Lubricants, S-Oil, GS Caltex, and other global base oil suppliers as well as various Indian oil refining companies for the procurement of base oil, which is the primary raw material.

Valuation: The company is valued at FY23PE multiple of 8.7x and EV/EBITDA of 5.4x, at the upper price band on post-issue capital. The company is the India's largest manufacturer of white oils in FY23 and one of the top five players globally in CY22 coupled with diversified customer base. White Oil, the fastest-growing segment of the Indian specialty oil market, is estimated to be worth USD 0.47 bn in FY23 and is expected to reach USD 0.76 bn by FY28, at a CAGR of 9.9%. The company enjoys healthy return ratios in FY23. We recommend investors to subscribe the issue for a long-term investment horizon.

Issue Details	
Date of Opening	22nd November 23
Date of Closing	24th November 23
Price Band (Rs)	160 – 169
Issue Size (Rs cr)	490 – 501
No. of shares	2,96,26,732
Face Value (Rs)	2
Post Issue Market Cap (Rs cr)	1,582 – 1,654
BRLMs	Nuvama Wealth, ICICI Securities
Registrar	Link Intime India Private Limited
Bid Lot	88 shares and in multiple thereof
QIB shares	50%
Retail shares	35%
NIB shares	15%

Objects of Issue	(Rs Cr.)
Investment into Texol by way of a loan for financing the repayment/pre-payment of a loan facility availed by Texol from the Bank of Baroda	22.7
Capital expenditure through purchase of equipment and civil work required for expansion in capacity of automotive oil at our Silvassa plant	27.7
Funding working capital requirements of our company	185.0
General corporate purposes*#	-
Net proceeds*	-

** To be finalized upon determination of the Offer Price and updated in the Prospectus prior to filing with the RoC.*

 # The amount utilized for general corporate purposes shall not exceed 25% of the Gross Proceeds.

Shareholding Pattern

Pre-Issue	No. of Shares	%
Promoter & Promoter Group	7,00,00,000	87.5
Public & Others	1,00,00,000	12.5
Total	**8,00,00,000**	**100.0**

Post Issue @Lower Price Band	No. of Shares	%
Promoter & Promoter Group	6,32,50,000	64.0
Public & Others	3,56,25,000	36.0
Total	**9,88,75,000**	**100.0**

Post Issue @Upper Price Band	No. of Shares	%
Promoter & Promoter Group	6,32,50,000	64.6
Public & Others	3,46,19,822	35.4
Total	**9,78,69,822**	**100.0**

Source: RHP, SSL Research

Key Financials

	FY21	FY22	FY23	3MFY24
Revenue from operations (Rs cr)	2,221	3,543	4,079	1,070
EBITDA (Rs cr)	139	246	317	84
Adj. Profit (Rs cr)	100	147	190	45
EBITDA Margin (%)	6.2	6.9	7.8	7.9
Adj. PAT Margin (%)	4.5	4.1	4.7	4.2
EPS (Rs)	10.3	15.0	19.4	4.6*
P/E (x)**	16.5	11.3	8.7	36.9*
P/BV (x)***	3.7	2.9	2.2	2.0*
ROE (%)	22.6	26.2	25.0	5.5*
ROCE (%)	28.4	35.7	34.7	7.0*
Debt / Equity (x)	0.2	0.3	0.2	0.4*

Not Annualized

*** PE(x) is calculated on upper price band***

***** P/BV (x) is calculated on upper price band***

Source: RHP, SSL Research

Risk Factors

- **PHPO division:** The company is significantly dependent on the personal care, health care and performance oil business division **(56.3% of total revenue as of 3MFY24)** and downturns in the industries addressed by this business division or an inability to manage sales by the business division effectively leading to any reduction in revenue from this division could adversely affect the business, financial condition and results of operations.
- **Quality assurance:** The company follows strict quality requirements and inspections in order to meet the industry standards. The success and acceptance of the products by the customers are largely dependent on the ability to meet such quality requirements and standards.
- **Raw material:** Delays, interruptions or reduction in the supply of raw materials to manufacture the products and abrupt fluctuations in the prices of the raw materials may adversely affect the business, results of operation, financial condition and cash flows.
- **Exchange rate fluctuation:** Exchange rate fluctuations in various currencies in which the company do business could negatively impact the business, financial condition and results of operations.

Growth Strategy

- **Consume and Healthcare:** Enhanced focus on the consumer and healthcare end-industries.
- **Sales:** Continue to increase overseas sales by strategically expanding product offerings.
- **Customer base:** Strengthening customer base by growing existing customer business and acquiring new customers.
- **Manufacturing & R&D:** Strengthening the manufacturing and R&D capabilities.

Product Category

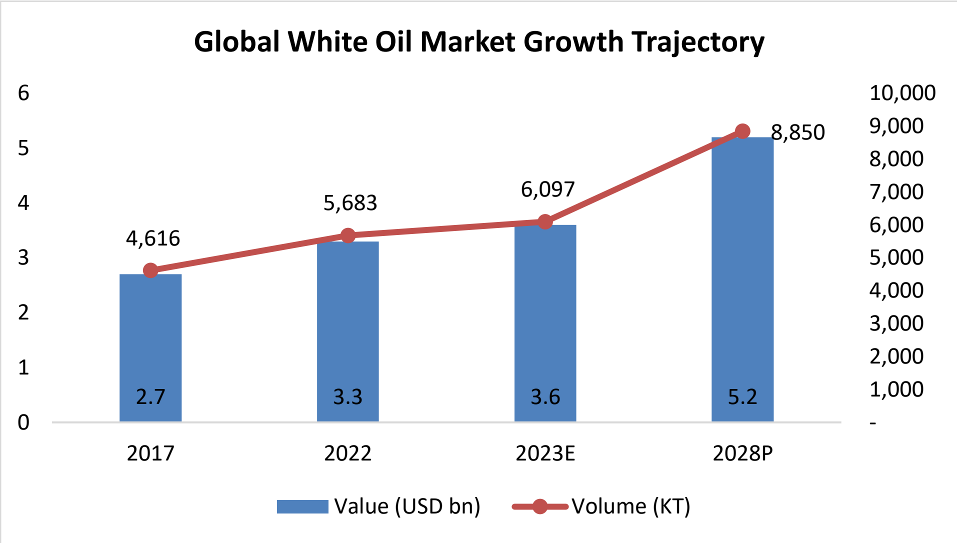
	Business division	Product categories	Primary end-industries
1.	Personal care, healthcare and performance oils (PHPO)	White oils, Waxes and Jellies	Consumer, Healthcare, Plastics, Chemical, Textiles, and Fragrance
2.	Lubricants	Automotive oils and Industrial oils	Automobile, and Industrial machines and equipment
3.	Process and insulating oils (PIO)	Transformer oils and Rubber processing oils	Transformer manufacturers, Power generation and distribution, and Tyre and Rubber product manufacturers

Source: RHP, SSL Research

Industry Overview

Global white oil market growth trajectory:

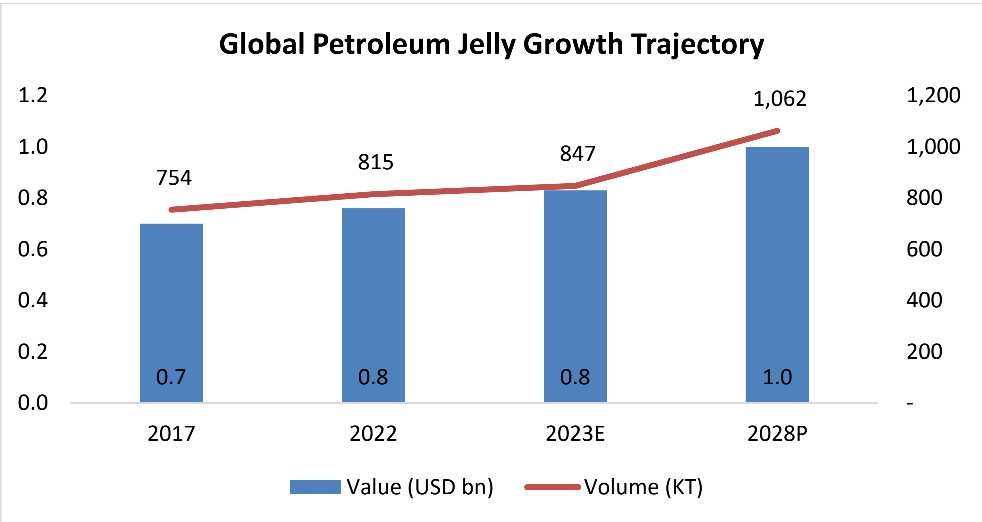
Mineral oils that have been refined to make them pure, stable, colourless, odourless, and non-toxic are known as white oils and their demand is mainly driven by increasing usage of personal care products (such as creams, lotions, and laxatives) and pharmaceuticals. Both these industries are on an uptrend due to improving lifestyles, an increasing focus on self-care, and rising awareness about personal hygiene and health. Additionally, the demand for white oil is also driven by food processing sector growth. All these factors together would propel white oil market growth in the forecast period. The market value of white oil is anticipated to grow from USD 3.6 bn in 2023 to USD 5.2 bn by 2028, at a CAGR of 8.1%. Further, the market size in terms of volume is expected to grow from 6,097 KT in 2023 to 8,850 KT in 2028, at a CAGR of 7.7%.



Source: RHP, SSL Research

Global petroleum jelly market growth trajectory

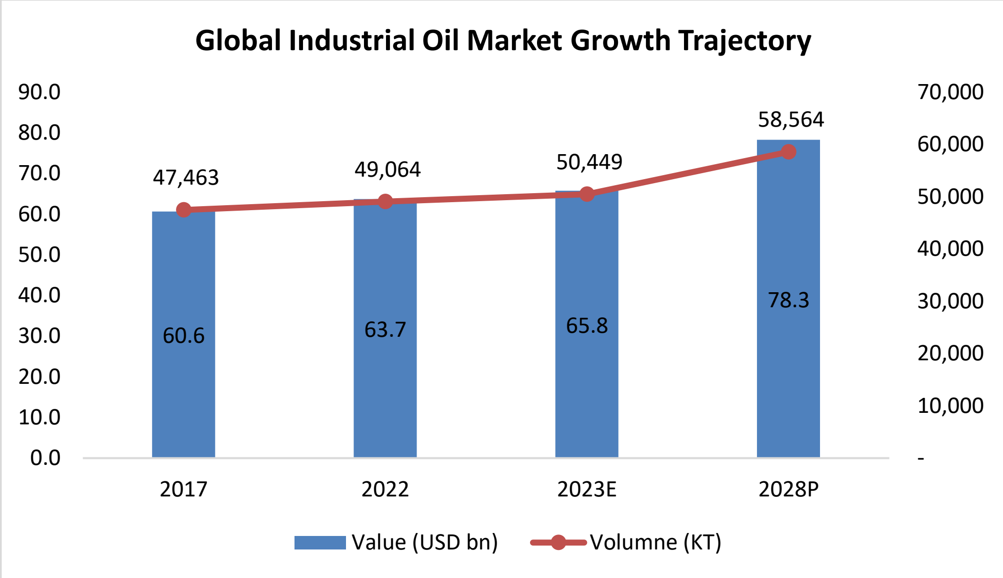
Petroleum jelly is available in pharmaceutical grade, industrial grade, and cosmetic grade. Prominent end users of petroleum jelly are food, pharmaceuticals, leather and shipping industries. The petroleum jelly market, estimated at USD 0.8 bn in 2023, will grow to USD 1.0 bn by 2028 at a CAGR of 4.9%. Additionally, the market volume is projected to increase from 847 KT in 2023 to 1,062 KT by 2028 at a CAGR of 4.6%.



Source: RHP, SSL Research

Global industrial oil market growth trajectory

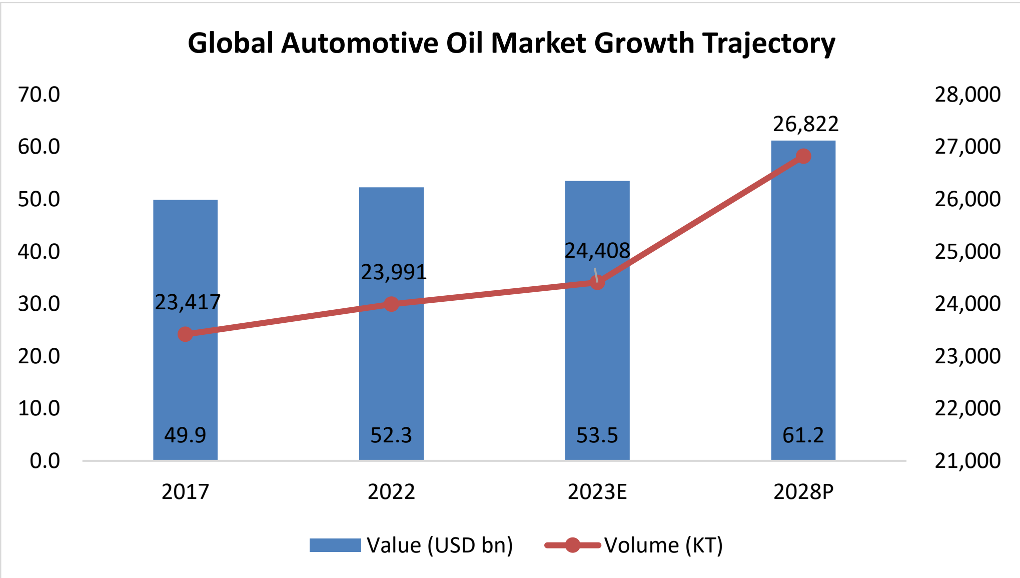
The industrial oil market is projected to be driven by rising industrial output in China, India, and Japan. Additionally, an increase in the production of food and drinks is leading to an increase in the use of industrial oils such as greases and hydraulic fluids. Consequently, industrial oil market volume is estimated to increase from 50,449 KT in 2023 to 58,564 KT in 2028. Also, the market value is forecast to grow to USD 78.3 bn in 2028 from USD 65.8 bn in 2023.



Source: RHP, SSL Research

Global automotive oil market growth trajectory

Automotive lubricants are chemicals used to lessen surface friction and stem the deterioration of car parts. Engine oils, transmission fluids, grease oils, process oils, and general industrial oils are often used as car lubricants. The use of automotive lubricants is also boosted by the huge potential of emerging economies. Additionally, the segment demand benefits from the rising demand of environment-friendly lubricants. Automotive lubricating oils are predominantly marketed in collaboration with automotive manufacturers and petrol stations. The global automotive lubricant market, valued at USD 53.5 bn in 2023, is expected to grow to USD 61.2 bn by 2028, at a CAGR of 2.7%. Additionally, the market size by volume, estimated at 24,408 KT in 2023, is projected to grow to 26,822 KT by 2028.



Source: RHP, SSL Research

Financial Snapshot

INCOME STATEMENT			
(Rs cr)	FY21	FY22	FY23
Revenue from Operations	**2,221**	**3,543**	**4,079**
% YoY growth	-	59.5%	15.1%
Cost Of Revenues (incl Stock Adj)	1,934	3,056	3,556
Gross Profit	**287**	**487**	**523**
Gross margins (%)	**12.9**	**13.8**	**12.8**
Employee Cost	24	37	52
Other Operating Expenses	125	205	154
EBITDA	**139**	**246**	**317**
EBITDA margins (%)	**6.2**	**6.9**	**7.8**
Other Income	22	26	22
Net Interest Exp.	36	32	52
Depreciation	11	15	17
Exceptional Items	0	1	0
PBT	**113**	**225**	**271**
Tax	20	62	58
Adj PAT	**100**	**147**	**190**
Adj. PAT margin (%)	**4.5**	**4.1**	**4.7**
Adj. EPS	**12.5**	**18.4**	**23.8**

BALANCE SHEET			
(Rs cr)	FY21	FY22	FY23
Assets			
Net Block	74	158	175
Capital WIP	22	44	73
Intangible Assets under development	11	30	44
Other Non current Assets	19	24	67
Current Assets			
Inventories	199	326	451
Trade receivables	514	442	562
Cash and Bank Balances	121	183	108
Short-term loans and advances	0	0	9
Other Current Assets	141	111	125
Total Current Assets	**975**	**1,062**	**1,255**
Current Liabilities & Provisions			
Trade payables	523	517	567
Other current liabilities	39	46	61
Short-term provisions	6	6	5
Total Current Liabilities	**568**	**569**	**634**
Net Current Assets	**407**	**493**	**621**
Total Assets	**533**	**749**	**980**
Liabilities			
Share Capital	16	16	16
Reserves and Surplus	429	525	709
Total Shareholders Funds	**445**	**541**	**725**
Minority Interest	0	20	35
Total Debt	79	158	170
Long Term Provisions	3	2	3
Other Long Term Liabilities	6	28	46
Total Liabilities	**533**	**749**	**980**

CASH FLOW (*Rs cr*)	FY21	FY22	FY23
Cash flow from Operating Activities	118	167	104
Cash flow from Investing Activities	-22	-116	-73
Cash flow from Financing Activities	-91	-4	-44
Free Cash Flow	108	51	49

RATIOS			
	FY21	FY22	FY23
Profitability			
Return on Assets (%)	9.1	11.2	11.8
Return on Capital (%)	28.4	36.7	36.0
Return on Equity (%)	22.6	27.2	26.2
Margin Analysis			
Gross Margin (%)	12.9	13.8	12.8
EBITDA Margin (%)	6.2	6.9	7.8
Net Income Margin (%)	4.5	4.2	4.7
Short-Term Liquidity			
Current Ratio (x)	1.5	1.5	1.6
Quick Ratio (x)	1.2	1.1	1.0
Avg. Days Sales Outstanding	85	46	50
Avg. Days Inventory Outstanding	33	34	40
Avg. Days Payables	86	53	51
Fixed asset turnover (x)	29.9	22.4	23.3
Debt-service coverage (x)	1.2	1.3	1.4
Long-Term Solvency			
Total Debt / Equity (x)	0.1	0.2	0.2
Interest Coverage Ratio (x)	4.2	8.1	6.3
Valuation Ratios			
EV/EBITDA (x)	9.4	5.3	4.4
P/E (x)	13.5	9.2	7.1
P/B (x)	3.0	2.5	1.9

Peer Comparison

	Gandhar Oil Refinery India Ltd.	Savita Oil Technologies Ltd.	Apar Industries Ltd.	Panama Petrochem Ltd.	Galaxy Surfactants Ltd.	Privi Speciality Chemicals Ltd.	Rossari Biotech Ltd.	Fairchem Organics Ltd.
CMP (Rs)	169	326	5,794	311	2,825	1,267	713	1,158
Sales (Rs cr)	4,079	3,629	14,352	2,249	4,443	1,578	1,656	648
EBITDA (Rs cr)	317	336	1,267	309	568	184	223	72
Net Profit (Rs cr)	190	226	638	233	381	22	107	44
Market Cap (Rs cr)	1,654	2,256	22,149	1,887	10,015	4,972	3,940	1,507
Enterprise Value (Rs cr)	1,715	2,216	22,110	1,731	10,069	5,991	4,016	1,541
EBITDA Margin (%)	7.8	9.3	8.8	13.7	12.8	11.7	13.5	11.1
Net Profit Margin (%)	4.7	6.2	4.4	10.4	8.6	1.4	6.5	6.8
P/E(x)	8.7	13.6	28.2	9.7	28.7	224.0	33.7	52.2
EV/EBITDA (x)	5.4	6.6	17.5	5.6	17.7	32.6	18.0	21.4
RoE (%)	25.0	16.1	32.3	27.1	22.1	2.8	12.4	17.7
RoCE (%)	34.7	24.2	51.1	34.9	23.6	5.6	18.4	21.5

The data is based on FY23 financial data.

For Gandhar Oil Refinery India Limited the Market cap, PE(x), and EV/EBITDA are calculated on post-issue equity share capital based on the upper price band.

CMP as on 21st November'23.

Source: RHP, SSL Research

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